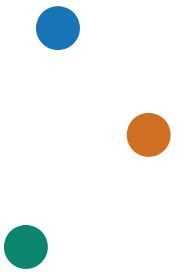


# Historical Stock Analysis

Does diversification survive a closer look?



230,111

ticker-days

49

global tickers

20 years

2006-2026

Karthikeyan M · Mirthula M · Lakshmi Mayuri Kavya N

# What we analyzed and how

230,111 daily company records; Python tested the hypotheses and R replicated the monthly analysis.

230,111 rows      8 columns      0 missing values      2006-01-02 → 2026-02-20

| Date       | Ticker    | Open     | High     | Low      | Close    | Adj Close | Volume      |
|------------|-----------|----------|----------|----------|----------|-----------|-------------|
| 2026-02-20 | AAPL      | 258.97   | 264.75   | 258.16   | 264.58   | 264.58    | 4,20,44,900 |
| 2026-02-20 | 005930.KS | 1,90,000 | 1,90,300 | 1,88,600 | 1,90,100 | 1,90,100  | 2,42,13,880 |
| 2026-02-20 | MC.PA     | 541.40   | 559.20   | 540.10   | 554.70   | 554.70    | 9,29,807    |

Open, High, Low, and Close describe the daily price range; Adj Close includes dividend adjustments; Volume is shares traded.

# Three hypotheses guide the analysis

Each hypothesis tests one part of the same diversification question.

## 01 H1 · AI-rally concentration

The selected chip/AI group will outperform the selected broader-tech group during the AI rally.

## 02 H2 · Regional diversification during crises

Average regional correlations will be higher in crisis periods than in calm years.

## 03 H3 · Volatility and volume during panic periods

Volatility and trading volume will rise during panic periods relative to the calm baseline.

Together, H1 tests concentration; H2 and H3 test whether diversification weakens under stress.

# How we test the three hypotheses

One technology comparison and three crisis measures, using adjusted prices.

## TECHNOLOGY GROUPS

### Chip / AI

NVDA · AVGO · TSM · ASML · AMD · MU · LRCX

### Broader tech

AAPL · MSFT · GOOGL · AMZN · META · NFLX · ORCL · CSCO

Indexed value =  $100 \times \text{Adj Close} / \text{starting Adj Close}$

## MARKET PERIODS

### Calm baseline

2015-2017 · no major global shock

### 2008 crisis

Housing collapse, mortgage losses, and a global banking shock

### 2020 crash

Pandemic lockdowns triggered a sudden global selloff

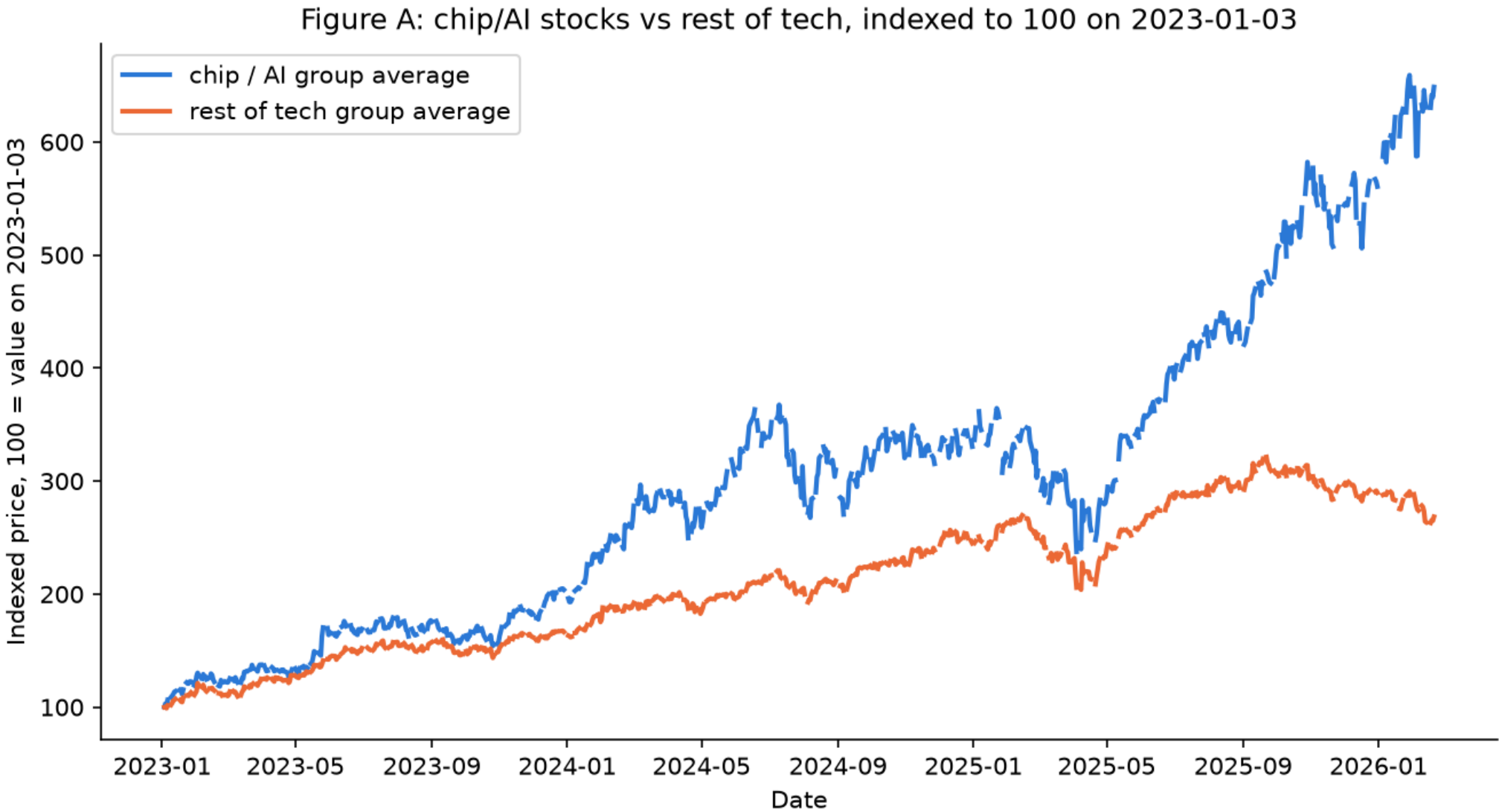
### 2022 drawdown

Inflation and rapid rate hikes drove a slower drawdown

Measures: correlation, volatility, and volume relative to calm

# The selected chip/AI group pulled decisively ahead

Indexed group averages from 2023-01-03 to 2026-02-20.



+549%

chip / AI group

+168%

broader-tech group

0.26% vs 0.14%

mean daily return

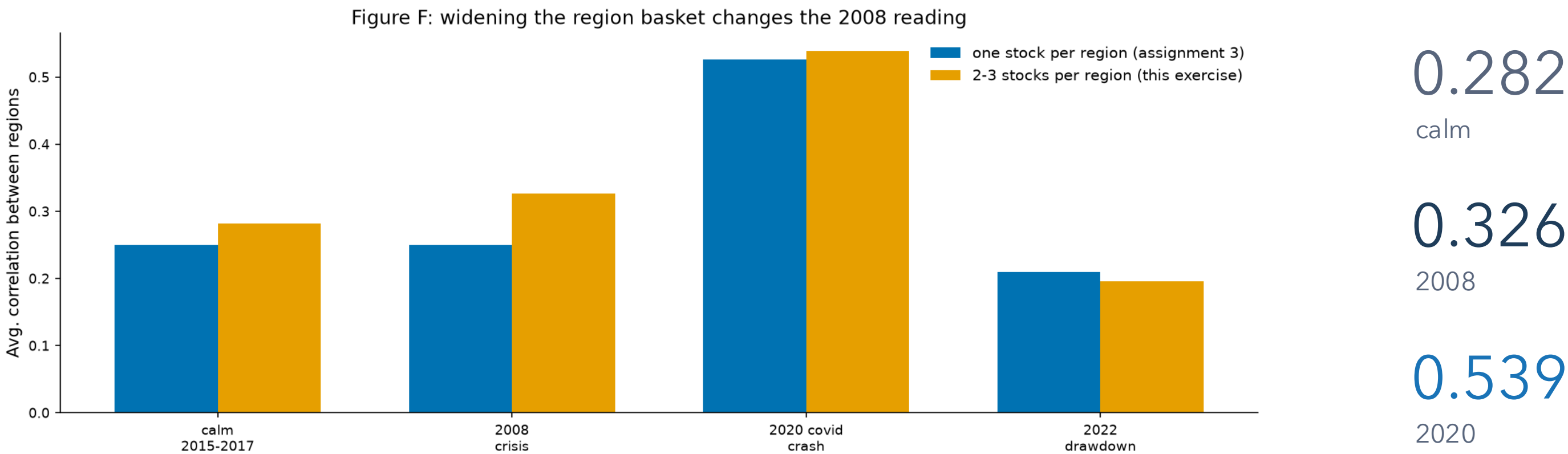
Welch p = 0.0073

Source: data/stock\_data.csv, 2023-01-03 to 2026-02-20. Chip/AI group: NVDA, AVGO, TSM, ASML, AMD, MU, LRCX.  
Rest of tech group: AAPL, MSFT, GOOGL, AMZN, META, NFLX, ORCL, CSCO. Each group line is a simple average of the indexed prices.

Conclusion: H1 is supported for these selected groups—not for every company linked to AI.

# Regional diversification weakened most in the 2020 crash

Average pairwise correlations after widening the available regional baskets.



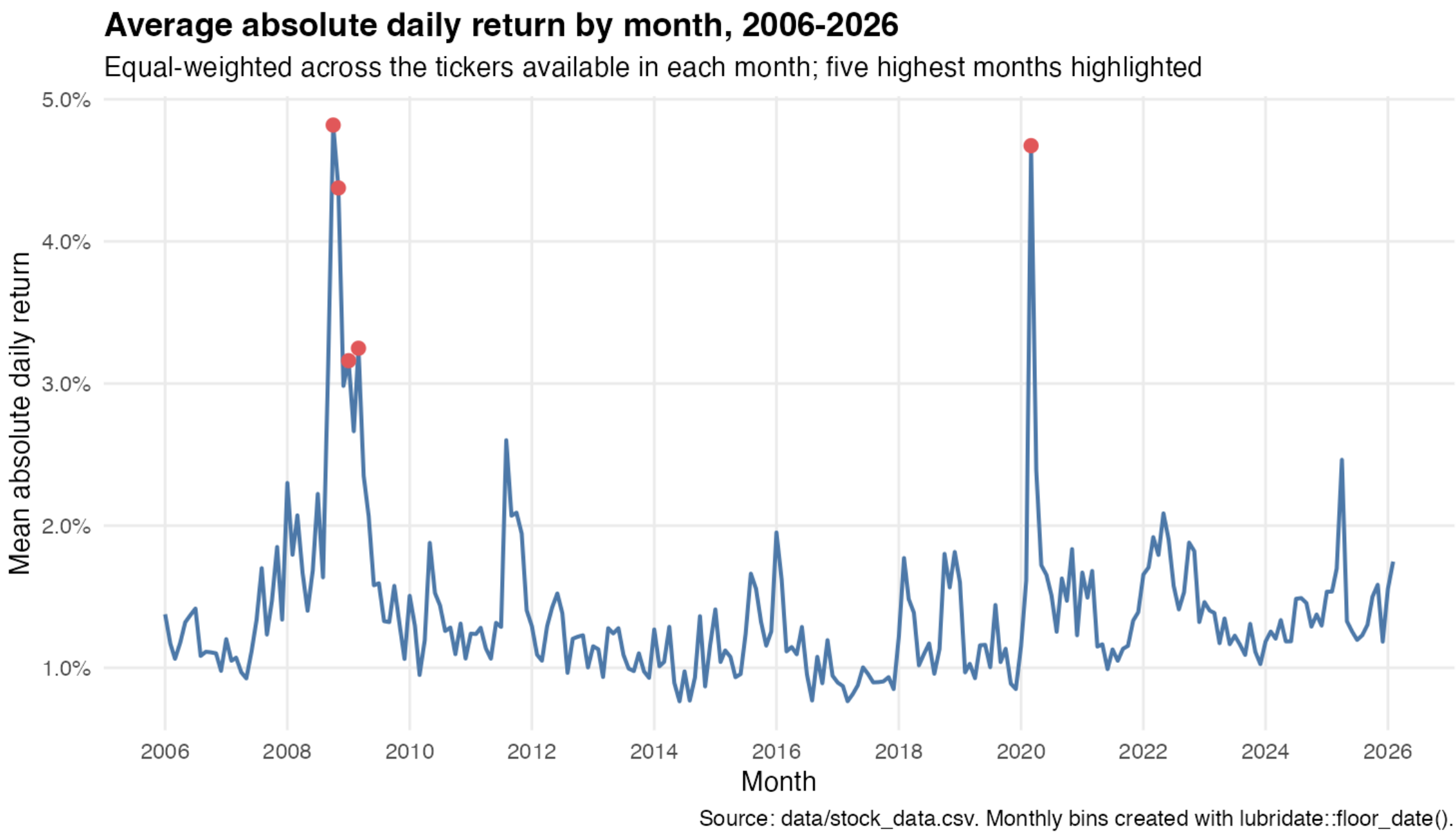
The 2008 estimate became more crisis-like after widening the basket, but Paris still has one stock and Korea/Switzerland remain sector-narrow.

Conclusion: H2 is strongly supported for 2020 and directionally supported for 2008.



# Panic months produced the largest volatility spikes

Equal-weighted mean absolute daily return by month across available tickers.



OCT 2008

4.82%

MAR 2020

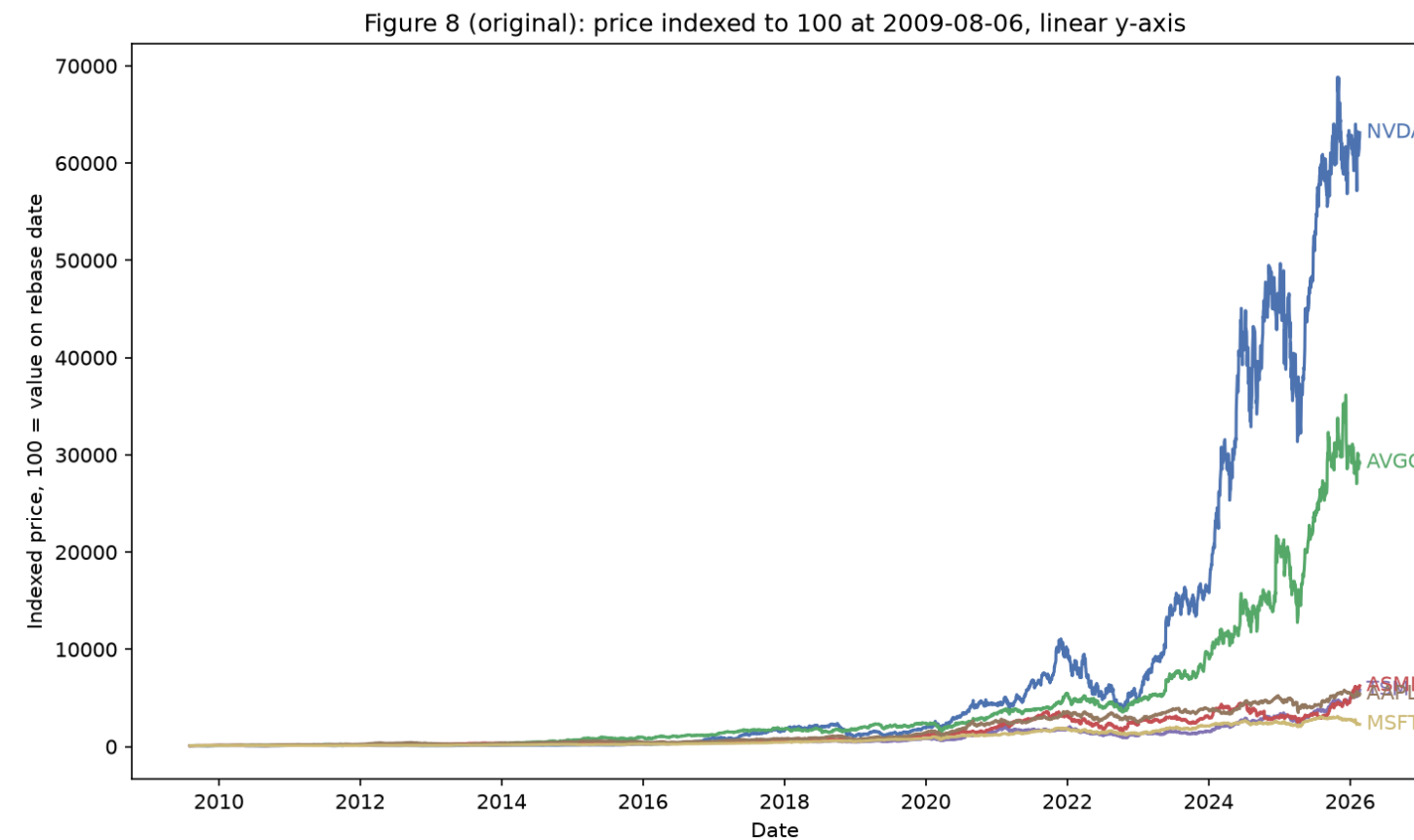
4.67%

Independent monthly aggregation reaches the same crisis conclusion.

# A log scale reveals the growth stories hidden by the linear chart

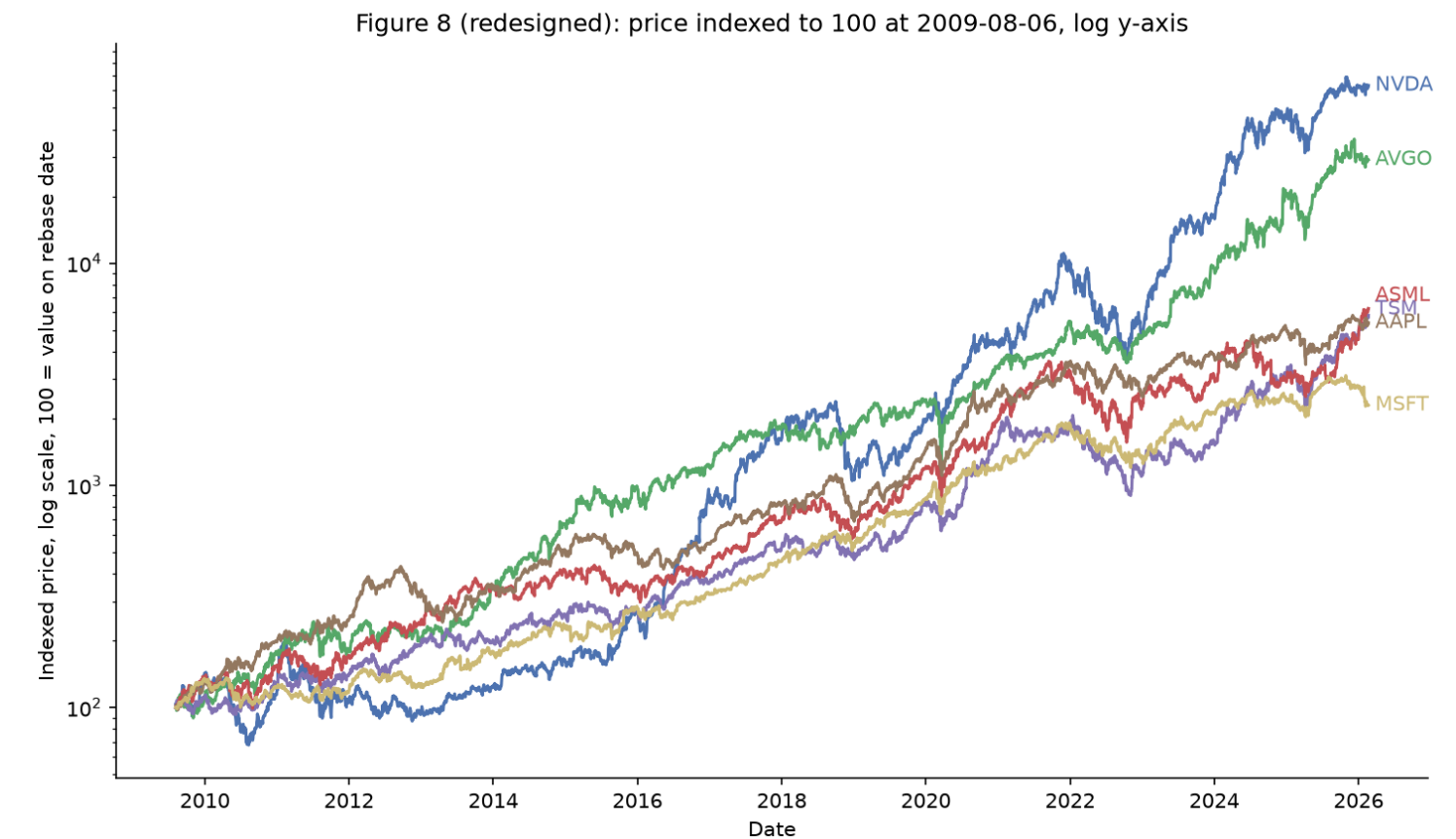
Same data and rebasing; only the visual encoding changes.

BEFORE · LINEAR



NVDA and AVGO dominate the absolute range, compressing four lines near the baseline.

AFTER · LOG



Equal vertical distance now represents equal proportional change; all six series remain legible.

Principles applied: appropriate scale · direct labels · less non-data ink · better pre-attentive separation



# Diversification is thinner when it matters most

All three hypotheses support the central story, within clear limits.

## 01 Technology leadership was concentrated

The selected chip/AI group gained 549% versus 168% for broader tech.

## 02 Regional protection weakened in sudden stress

Average correlation peaked at 0.539 in the 2020 crash.

## 03 Volatility independently confirmed the panic signal

October 2008 and March 2020 were the largest monthly spikes.

What we can claim: patterns in this dataset. What we cannot claim: causality, forecasting, or a universal market law.

# Make the evidence explorable

The dashboard keeps every assumption visible as a filter.

## POWER BI / TABLEAU

### One overview

Filter by ticker group, region, and crisis period; compare indexed performance, correlations, and monthly volatility.

## R WRANGLING

### Long-form by design

Use parsed dates, month bins, and one Ticker field so color, grouping, and filters remain consistent.

## OPEN RISKS

unequal regional coverage · share-count volume · removed original Kaggle page · no causal interpretation

Success means the user can reproduce each headline and see where the evidence becomes uncertain.